Summary

Macroeconomics studies the behavior and performance of an economy as a whole. It covers the functioning, performance and growth of an economy. It examines the macro aspects such as employment, national income, inflation, business cycle, poverty, inequality, disparity, investment and saving, capital formation, infrastructure development, banking, public finance, international trade, balance of trade and balance of payments, exchange rate and economic growth. Economic models based on economic variables are useful in understanding an economy. Circular Flow Models provide a base to understand the functioning of a macro economy.

An economy could be classified on the basis of economic systems such as Capitalist economy, Socialist economy and mixed economy. However, nowadays it is difficult to find 100 percent capitalist system, Socialist system or perfectly mixed economy.

Glossary

- **Macroeconomics :** The branch of economics that studies the behaviour and performance of an economy as a whole
- **Economic System :** The manner in which individuals and institutions are connected together to carry out economic activities in a particular area
- **Capitalism :** The system where the means of production are privately owned and market determines the economic activities.
- **Socialism :** A way of organizing a society in which major economic activities are owned and controlled by the government rather than by individual people and companies
- **Mixedism :** An ideology that mixes or combines the principles of Capitalism (Private Role) and Socialism (Government Role) in an economy.
- **Globalism :** An economic system where the economic activities of a nation are inter connected and inter dependent on each other nation.
- **Stock :** A quantity of a commodity that is constant at a point of time (Static)
- **Flow :** Variables measured over a period of time. (Dynamic)
- **Economic Model** : It is an explanation of how the economy, or part of the economy, works.
- **Circular Flow :** It shows flows of income, goods and services and factors of production between economic agents such as firms, households, government and nations.

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